

CONSUMER BEHAVIOUR

Pre-Mid Term Consolidated Teaching Notes

From observing what consumers think, say, feel and do — to understanding how perception constructs marketplace reality

Course progression

Think–Say–Feel–Do & behavioural interventions

Motivation → Learning → Memory → Habits

Qualitative insight tools

Perception, context and positioning

How the Topics Fit Together

- Start with the observable puzzle: what consumers think, say and feel does not always match what they do.
- Examine how small changes in the choice environment can alter behaviour without changing the product itself.
- Move inward to the forces that energise action: needs, goals, tensions, identity and values.
- Explain how experience changes future responses through learning, memory and habit formation.
- Use qualitative research to uncover consumers' language, meanings, journeys and hidden value structures.
- End with perception: consumers respond not to objective reality alone, but to reality as selected, organised and interpreted.

Bridge → *The course moves repeatedly between two questions: “What is happening in the consumer’s mind?” and “How can we observe or influence it responsibly?”*

1. Think–Say–Feel–Do: The Starting Lens

Core idea: Consumer behaviour is multi-layered; self-report, emotion and action may converge—or contradict one another.

The four lenses

- Think: beliefs, interpretations, judgments, expectations and conscious evaluations.
- Say: explanations, stated preferences, intentions and the socially acceptable story a consumer tells.
- Feel: emotions, moods, bodily responses, identity signals and often difficult-to-verbalise reactions.
- Do: actual choices, clicks, purchases, avoidance, usage, repetition and abandonment.

Why gaps matter

- Consumers may say health matters but choose convenience; like a sustainable brand but buy a cheaper alternative; intend to exercise but remain inactive.
- The gap is not automatically dishonesty: it may reflect habit, constraints, social norms, low perceived control, memory failure or a changed context.
- Good consumer research triangulates what people say with what they do, the setting in which they act and the emotions surrounding the action.

Managerial use

- Diagnose the real barrier before designing a campaign: knowledge, motivation, ability, opportunity, friction, habit or social influence.
- Translate broad claims such as “customers want convenience” into observable moments and specific behaviours.
- Treat contradictions as insight: they reveal the forces competing at the point of choice.

Bridge → *Once behaviour is separated from stated intention, the next question is whether the environment itself can shift choice—even when preferences, products and incentives remain largely unchanged.*

2. Behavioural Interventions: Context Changes Choice

Core idea: Choice is constructed in context. Presentation, comparison and friction can influence action without changing the underlying product.

Framing

- The same outcome can be described as a gain or a loss: “90% fat-free” versus “10% fat.”
- Gain frames emphasise benefits achieved; loss frames emphasise costs, risks or opportunities missed.
- Frames guide attention and interpretation; their effect depends on audience, goal, risk and context.

Anchoring

- The first salient number or reference point shapes later judgments, even when it is arbitrary or only partly relevant.
- Common applications: original price beside sale price, premium plan shown first, suggested donation or high opening offer.
- The anchor changes the comparison standard; it does not necessarily change the product.

Decoy effect

- Adding an intentionally inferior third option can make a target option appear more attractive.
- The decoy is asymmetrically dominated: clearly worse than the target on relevant attributes, but not equally worse than every alternative.
- Useful in subscription tiers, serving sizes and product bundles; ethically risky if it obscures value or exploits confusion.

Choice architecture and nudges

- Defaults, ordering, salience, labels, reminders, social proof and reduced friction alter the path to action.
- A nudge preserves choice while making one action easier, more visible or more natural.
- Evaluate interventions by effectiveness, transparency, consumer welfare and ease of opting out.

Bridge → *Context can steer a decision, but it does not explain why a goal matters. Motivation theories reveal the needs and tensions that give behaviour energy and direction.*

3. Motivation: Why Consumers Act

Core idea: Motivation begins when a need or desired state creates tension and directs behaviour toward a goal.

Motivational process

- Need or discrepancy → tension/arousal → goal-directed behaviour → outcome → satisfaction, learning or renewed tension.
- The same product can serve different motives; the same motive can be expressed through different products.
- Approach motives pull consumers toward desired outcomes; avoidance motives push them away from feared outcomes.

Maslow's hierarchy of needs

- Physiological, safety, belonging, esteem and self-actualisation offer a useful organising framework.
- Needs do not always follow a rigid ladder; multiple needs can operate together and culture changes their expression.
- Marketing use: identify the need being promised rather than merely the feature being advertised.

Self-Determination Theory

- Autonomy: feeling that the choice is self-endorsed.
- Competence: feeling capable, effective and able to make progress.
- Relatedness: feeling connected, accepted or part of a group.
- Products, services and learning environments are more engaging when they support rather than undermine these needs.

Intrinsic and extrinsic motivation

- Intrinsic motivation comes from interest, enjoyment or meaning in the activity itself.
- Extrinsic motivation comes from rewards, penalties, recognition or external outcomes.
- Rewards can initiate behaviour, but poorly designed rewards may crowd out intrinsic interest.

Goals, identity and conflicts

- Functional goals concern performance; emotional goals concern desired feelings; symbolic goals concern identity and social meaning.
- Approach–approach: choosing between attractive options; avoidance–avoidance: choosing between unattractive options; approach–avoidance: one option has both benefits and costs.
- Means–end thinking later connects product attributes to these deeper goals and values.

Bridge → *Motivation determines whether consumers engage; learning explains how experience changes what they know, expect and do the next time.*

4. Learning: How Experience Changes Behaviour

Core idea: Learning is a relatively lasting change in knowledge or behaviour produced by experience.

Classical conditioning

- A brand acquires meaning by repeated association with music, imagery, emotion, people or occasions.
- Repetition strengthens association, but excessive or inconsistent execution can dilute learning.
- Stimulus generalisation extends a learned response to similar products; discrimination teaches consumers to distinguish one offering from another.

Operant conditioning

- Consequences shape behaviour: rewards strengthen responses, while unpleasant consequences or missing rewards weaken them.
- Loyalty points, streaks, badges, free trials and variable rewards can reinforce repeat behaviour.
- Immediate and certain reinforcement is generally easier to learn from than delayed and uncertain reinforcement.

Observational and cognitive learning

- Consumers learn by watching peers, influencers, experts and reference groups.
- Attention, retention, ability to reproduce the behaviour and motivation affect whether modelling works.
- Cognitive learning also involves problem-solving, insight, rule formation and deliberate comparison—not only stimulus–response association.

Managerial implications

- Make the desired response easy to perform and the feedback easy to understand.
- Keep distinctive brand cues consistent so learning attaches to the correct brand.
- Distinguish short-term compliance from genuine learning and durable preference.

Bridge → *Learning leaves traces. Memory determines which of those traces are encoded, retained and available when a consumer later faces a choice.*

5. Memory: What Consumers Retain and Retrieve

Core idea: Marketing can influence choice only if relevant information is encoded, stored and retrieved at the right moment.

Memory system

- Sensory memory briefly registers incoming stimulation; attention determines what proceeds further.
- Working memory actively processes a limited amount of information; overload reduces comprehension.
- Long-term memory stores knowledge, experiences, emotions, associations and procedures.

Encoding and retrieval

- Meaningful elaboration, imagery, emotion, repetition and connection to existing knowledge improve encoding.
- Retrieval cues—colour, packaging, slogan, context, sound or occasion—help bring stored information back to mind.
- Recognition is usually easier than recall; being familiar on a shelf is different from being spontaneously remembered.

Associative networks and schemas

- Brand knowledge exists as linked nodes: attributes, benefits, users, situations, feelings and competing brands.
- Schemas organise expectations about categories and experiences; they help efficiency but can also create bias.
- Strong, favourable and distinctive associations support brand equity and retrieval.

Forgetting and distortion

- Information fades, competes with other information or becomes difficult to retrieve when cues are weak.
- Memory is reconstructive: consumers may remember the gist, emotion or brand meaning rather than exact details.
- Vampire creativity occurs when an execution is memorable but the brand or claim is not.

Bridge → *When learned responses become automatic and cue-driven, the course shifts from memory to habits—the repeated bridge from context to action.*

6. Habits: When Behaviour Becomes Automatic

Core idea: Habits are learned cue–response associations that reduce deliberation in stable contexts.

Habit loop

- Cue: a time, place, emotion, preceding action or social situation.
- Routine: the behaviour that follows with little conscious deliberation.
- Reward: the outcome that reinforces repetition and teaches the loop.

Building habits

- Start with a clear cue and a small, easy action; reduce steps, uncertainty and effort.
- Provide timely feedback or reward and encourage repetition in a stable context.
- Design for recovery after a missed action so one lapse does not become abandonment.

Changing habits

- Identify the cue and reward rather than focusing only on willpower.
- Disrupt the environment, add friction to the unwanted routine and make the alternative immediately available.
- Implementation intentions—“If situation X occurs, I will do Y”—link a future cue to a chosen response.

Marketing and ethics

- Subscriptions, notifications, autoplay and streaks can build usage habits, but may also undermine autonomy or wellbeing.
- A valuable habit creates recurring benefit for the consumer, not merely recurring engagement for the firm.

Bridge → *Theories explain possible mechanisms. Qualitative methods let us hear how consumers themselves experience motives, memories, habits and choice contexts.*

7. Qualitative Consumer Research

Core idea: Qualitative research explores meanings, processes, language and context when the objective is depth rather than statistical prevalence.

When to use it

- Explore an unfamiliar category or poorly understood behaviour.
- Understand why a pattern occurs, how consumers describe it and what context surrounds it.
- Generate hypotheses, attributes, segments or journey stages for later validation.

Core methods

- Depth interviews: one-to-one exploration of personal meanings, sensitive topics and decision processes.

- Focus groups: interaction reveals shared language, agreement, disagreement and social norms.
- Observation or ethnography: compare reported behaviour with behaviour in natural settings.
- Diary studies: capture changing experiences, triggers and emotions over time.
- Projective and elicitation techniques: use images, stories, sorting or third-person prompts when direct questioning is limiting.

Interviewing practice

- Begin broad, build rapport and ask neutral, open questions.
- Probe with “what happened next?”, “why was that important?” and requests for concrete examples.
- Avoid leading questions, premature interpretation and treating the first answer as the deepest answer.
- Record context, pauses, contradictions and non-verbal signals where appropriate.

Analysis

- Familiarise → code → group codes → develop themes → compare cases → refine interpretations.
- Use participant evidence to support themes and actively search for exceptions or negative cases.
- Maintain reflexivity: the researcher’s questions, assumptions and position influence the account produced.

Bridge → Once themes are visible, laddering moves from surface-level product talk to the personal consequences and values beneath it.

8. Laddering and the Means–End Chain

Core idea: Consumers value attributes because of the consequences those attributes create and the values those consequences serve.

Means–End Chain

- Attributes: concrete or abstract features of the product, service or experience.
- Consequences: functional or psychosocial outcomes produced by those attributes.
- Values: enduring desired end states such as security, achievement, belonging, freedom or self-respect.
- Core chain: Attribute → Consequence → Value.

Laddering interview

- Begin with a meaningful preference or distinction: “Why do you choose this option?”
- Ask iteratively: “Why is that important to you?”
- Move upward without forcing a value; stay grounded in the participant’s own words and examples.
- Probe both positive and negative ladders, and note where chains branch or stop.

From interviews to insight

- Code statements as attributes, consequences or values.
- Aggregate repeated linkages across participants and build an implication matrix.
- Visualise dominant pathways in a Hierarchical Value Map.
- Use the map to develop positioning, messages and experience ideas that connect proof to personal meaning.

Illustrative chain

- “Moisture-wicking fabric” → “I remain comfortable” → “I can stay focused and confident” → “I feel capable and in control.”
- The attribute is the evidence; the value is the deeper reason the evidence matters.

Bridge → *Laddering is researcher-led. Reviews add naturally occurring consumer language at scale and reveal which attributes and consequences appear in real use.*

9. Review Analysis: Turning Customer Voice into Evidence

Core idea: Reviews combine evaluation, lived experience and category language, but they must be interpreted with attention to bias and context.

What reviews can reveal

- Frequently discussed attributes, benefits, pain points, use situations and comparison standards.
- Emotionally intense moments that create delight, frustration, trust or regret.
- Differences between expectations before purchase and experiences after use.
- Consumer vocabulary that can inform research instruments, product design and communication.

A practical coding approach

- Capture review metadata: rating, date, variant, platform and verified status when available.
- Code attribute, consequence, emotion, journey stage, severity and suggested improvement.
- Separate incidence from intensity: a rare failure may be strategically important if its consequence is severe.
- Compare positive and negative reviews, ratings, segments and time periods.

Cautions

- Reviewers are self-selected and may over-represent highly positive or highly negative experiences.
- Fake, incentivised, duplicated or outdated reviews can distort interpretation.
- Ratings without context are weak evidence; read the narrative and examine patterns across sources.
- Review analysis supports discovery and diagnosis, but does not automatically represent the whole market.

Bridge → *Review themes become more actionable when placed in sequence. Consumer journey mapping shows when needs, emotions and breakdowns arise.*

10. Consumer Journey Mapping

Core idea: A journey map organises the end-to-end experience around the consumer’s goal, not the firm’s departments.

Typical stages

- Need recognition → search → evaluation → purchase → onboarding/first use → continued use → support → loyalty, advocacy or exit.
- Journeys are not always linear: consumers loop, pause, switch devices, consult others or abandon and return.

What to map at each stage

- Consumer goal and job to be done.
- Actions and touchpoints across channels.
- Thoughts, questions, emotions and expectations.
- Pain points, moments of truth and sources of friction.
- Opportunities, evidence needed and ownership within the organisation.

Building an evidence-based map

- Define the persona, goal, scope and start/end points.
- Combine interviews, observation, reviews, analytics and frontline knowledge.
- Distinguish the current-state journey from the desired future-state journey.
- Prioritise moments by consumer importance, business impact and feasibility—not by visual prominence on the map.

Bridge → *A journey describes an experience for a particular kind of consumer. Personas make that consumer explicit, while avoiding the fiction of an “average customer.”*

11. Personas: Humanising Evidence without Stereotyping

Core idea: A persona is a research-based archetype that represents a meaningful pattern of goals, behaviours, contexts and barriers.

Useful persona components

- Primary goal or job to be done.
- Behavioural patterns, decision criteria and level of category knowledge.
- Motivations, anxieties, barriers, triggers and workarounds.
- Relevant context: channel, usage situation, social influence and constraints.
- A short evidence-based quote that captures the person's decision logic.

What makes a persona credible

- Built from recurring patterns in interviews, observation, reviews and behavioural evidence.
- Focused on differences that change product, message or journey decisions.
- Specific enough to guide choices, but not overloaded with decorative biography.
- Updated when evidence changes.

Common errors

- Inventing personas from intuition alone.
- Using demographics as a substitute for motivations and behaviour.
- Creating too many personas or personas that do not lead to different actions.
- Turning an archetype into a stereotype or assuming every member behaves identically.

Bridge → *Research tools reveal what consumers mean and experience. Perception completes this phase of the course by explaining how marketplace stimuli become those subjective meanings in the first place.*

12. Perception: How Consumers Construct Reality

Core idea: Perception is the process by which consumers select, organise and interpret stimuli; what is perceived, not merely what is present, guides behaviour.

Perceptual process

- Exposure: a stimulus comes within sensory range.
- Attention: limited processing capacity is allocated selectively.
- Interpretation: the stimulus is given meaning through context, expectations, prior knowledge and goals.
- Objective properties matter, but consumers respond to the meaning constructed from them.

Selective perception

- Consumers are more likely to notice stimuli that are personally relevant, novel, intense, contrasting or goal-consistent.
- Selective attention protects against overload; selective interpretation fits information into existing beliefs and schemas.
- Adaptation reduces response to repeated, unchanging stimulation; novelty can restore attention but must remain brand-relevant.

Thresholds and sensory cues

- Absolute threshold: minimum stimulation that can be detected.
- Difference threshold or just-noticeable difference: minimum change that can be noticed; Weber's Law makes this proportional to the initial intensity.
- Marketers manage colour, sound, scent, texture, taste, package weight and interface motion as meaning-bearing cues.

Expectations, schemas and context

- Expectations act as hypotheses about what a product should look, taste, cost or feel like.
- Context creates contrast and assimilation: an option can look premium, cheap or "just right" depending on what surrounds it.
- Perception links back to anchoring, framing and decoys because all three alter the reference frame through which value is judged.

Cases from class

- Crystal Pepsi: its clear appearance activated expectations of water or lemon-lime soda, conflicting with cola taste; sensory inconsistency made the experience feel "wrong."
- Gap 2010 logo redesign: the company changed a visual asset, but consumers experienced the familiar logo as identity and nostalgia; the replacement was perceived as generic and soulless.
- Ford Edsel: heavy "car of the future" hype raised the comparison standard, while the design created an unattractive first impression; perceived reality fell below expectations.

Anchoring and decoy effects revisited

- Anchors influence the reference point used to interpret price, quality and value.
- Decoys change perceived attractiveness by restructuring comparison, even when the target itself is unchanged.
- The common mechanism is relational judgment: value is rarely perceived in isolation.

Perceptual mapping and positioning

- A perceptual map represents how consumers see competing brands on salient dimensions.
- Dimensions should come from consumer evidence—interviews, reviews, attribute elicitation or survey analysis—not only managerial intuition.
- Maps reveal clusters, gaps and discrepancies between intended and perceived positioning.
- A gap is an opportunity only if consumers value it and the organisation can credibly own it.

Final Integration: One Consumer, One Connected System

- Behaviour is the outcome to explain, but think–say–feel–do reminds us not to confuse intentions with actions.
- Choice architecture changes what is noticed and compared; motivation determines which goals matter.
- Learning links actions to consequences; memory stores associations and makes some brands easier to retrieve.
- Repeated cue–response links become habits, reducing conscious deliberation.
- Qualitative methods reveal the consumer’s language and context; laddering connects attributes to values.
- Reviews show naturally occurring experiences; journeys organise them over time; personas organise meaningful differences between consumers.
- Perception sits at the gateway: stimuli acquire meaning through attention, expectations, schemas and context.
- The managerial task is to observe carefully, diagnose the true mechanism and design ethically for consumer and organisational value.

Stimulus → Perception → Meaning → Motivation → Choice → Experience → Learning & Memory → Habit